

Practice Quiz: Organizational Systems — Module 02: Agents

Name: ____ Date: ____

Part A: Multiple Choice

1. Under Active Inference, what makes an organization an **agent**?

A) It has employees who think B) It maintains a generative model, has preferred states, acts, and learns C) It has a legal corporate charter D) It has a CEO who makes decisions

1. Organizational agency is best described as:

A) The CEO's personal vision B) An emergent property of coordinated individual agents with aligned models C) A metaphor with no formal basis D) Identical to individual human agency

1. What role do **incentives** play in the Active Inference framework for organizations?

A) They increase employee satisfaction B) They function as precision allocators, determining which signals agents attend to C) They eliminate prediction error D) They replace the organizational generative model

1. The Wells Fargo cross-selling scandal is an example of:

A) Effective organizational agency B) Local free energy minimization misaligned with global firm-level goals C) Too much organizational learning D) Successful incentive design

1. **Roles** in an organization serve to:

A) Create rigid hierarchies B) Partition the organizational inference task — each role specializes in sensing, modeling, or acting on a subset of the environment C) Eliminate the need for communication D) Centralize all decision-making

1. **Groupthink** in Active Inference terms is best understood as:

A) Too many agents in the system B) Excessive precision on prior beliefs, causing the organization to ignore disconfirming evidence C) Insufficient hierarchy D) Maximizing free energy

1. Which of the following would MOST likely indicate a "fragmented agent"?

A) Clear organizational goals aligned across all departments B) Regular strategic review and belief updating C) Subunits pursuing contradictory KPIs with no mechanism for resolution D) A well-defined Markov blanket

Part B: Short Analysis

1. A technology startup with 15 employees has remarkably coherent organizational agency — every employee shares the same mental model of the market, and decisions are made rapidly. As the company grows to 500 employees, this coherence degrades. Using the concept of distributed agency and the challenges of maintaining alignment across nested levels, explain why growth threatens organizational agency and propose two structural solutions.
2. Consider a hospital. Identify four distinct roles (e.g., surgeon, nurse, administrator, patient liaison) and describe each one's **inference specialization** — what it senses, what model it maintains, and what actions it takes. Then identify a scenario where misalignment between these specialized agents leads to a negative patient outcome.
3. Your company's board of directors wants to adopt a new corporate purpose: "We exist to minimize the free energy of our customers." Translate this statement into concrete organizational implications — what would change about the company's preferred states, sensing mechanisms, and action priorities? Is this a coherent organizational purpose, or does it contain hidden contradictions?